

Starbucks Q3 2025 Earnings

Blind Sentiment & Directional Score: Outlook/guidance only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Outlook/guidance only** as the ONLY report content. The other sections (the reported financial results, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Starbucks Corporation (SBUX)
Report	Fiscal Q3 2025 (June quarter)
Release date	Tuesday 29 July 2025, after close
Earnings call	Same evening, ET
Source	Motley Fool transcript
Read mode	cold; management outlook/guidance only, no reported results, no Q&A, no price chart
Time to produce	39 minutes

Source material (read ONLY this)

Forward guide (assigned source: outlook/guidance only)

- Green Apron service rollout accelerated to “*mid-August 2025*” across the US (Brian Niccol, CEO), with a “*consistent drumbeat of innovation... through fiscal year 2026*”.
- “*Over a half a billion dollars of additional labor hours into our US company-operated portfolio over the next year*” (Cathy Smith, CFO).

- Management remains “*conservative on how the current year over year trends will change*” for the US company-operated business in Q4, given macro uncertainty.
- Cost structure work spanning “*COGS to operating expenses to G&A*” for short and long term efficiency across fiscal 2026 to 2028.
- China: “*significant interest from more than 20 interested parties*” for a stake, with a meaningful stake retained. Investor Day in 2026, using “*fiscal 2019 as a profitability guidepost*”.

Your scoring: fill in below, then seal

1 Sentiment score

Score: −0.30

Rationale. A half-billion-dollar labor investment, management explicitly “conservative” on Q4 US trends, and cost work stretching to fiscal 2028: spending is committed, payback is not.

2 Directional signal

Signal: SELL

Rationale. An investment phase paired with guarded near-term language reads negative. SELL.

3 Structured summary

- **What the source shows.** The turnaround is being funded aggressively ahead of any proof in the trends.
- **What the source cannot show.** No comps or margins, so cannot check whether the investment is already working.
- **Expectations bar.** Guarded Q4 language against hopes of a quick fix skews negative.
- **Conviction.** Moderate conviction: the guide is candid on cost and quiet on timing of payoff.

4 Evidence quotes

1. Green Apron service rollout accelerated to “*mid-August 2025*” across the US (Brian Niccol, CEO), with a “*consistent drumbeat of innovation... through fiscal year 2026*”.
2. “*Over a half a billion dollars of additional labor hours into our US company-operated portfolio over the next year*” (Cathy Smith, CFO).
3. Management remains “*conservative on how the current year over year trends will change*” for the US company-operated business in Q4, given macro uncertainty.

— **SEALED** —

Overnight move and call verification

SBUX close, 29 July 2025 (release day)	\$92.96
SBUX open, 30 July 2025	\$97.83
Overnight move	+5.24%

Call verification

- HOLD band test: $|+5.24\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+ 5.24 %
D+1 close	−0.22%
D+3 close	−6.56%
D+5 close	−2.97%
D+10 close	+0.44%
D+20 close	−6.81%